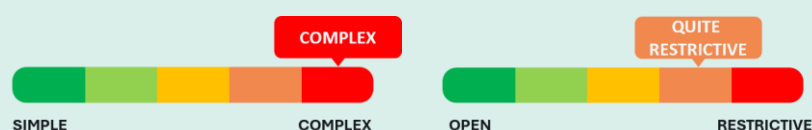




India



Overview: In India, any marketing/selling activities (including responding to a reverse enquiry) may trigger the Presence in India Rule irrespective of whether they relate to a fund or service or constitute general marketing. Where the rule is triggered, it is necessary to make a filing and then comply with certain ongoing obligations. It is possible to structure activities so as not to trigger these requirements but care is required. There are also Exchange Control Restrictions that a firm must consider. See also specific considerations below that apply when marketing/selling funds and/or IMAS.

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Funds: Active marketing/selling of fund interests is effectively prohibited. It is, however, possible to respond to a reverse enquiry from certain types or groups of investors without triggering the Rule on Collective Investment Schemes provided certain conditions are met. The Public Offer Rule, the Presence in India Rule and Exchange Control Restrictions must be considered as well and activities structured accordingly.

Investment Management & Advisory Services (IMAS): The SEBI Registration Requirement does not apply uniformly to all IMAS services and therefore care is required to identify:

- the precise IMAS service to be offered (i.e. whether the services of investment advice, portfolio management, arranging and execution of orders on behalf of clients fall within the scope of Regulated Services or Regulated Investment Advice or could involve acting as a Research Analyst/Entity);
- whether the firm will be both marketing **and/or** providing the relevant service; and
- whether the service will relate to *domestic* or to *offshore* securities.

Where the service relates to *offshore* securities then it is unlikely that the restriction will be triggered. The Presence in India Rule and Exchange Control Restrictions must nevertheless be considered and activities structured accordingly.

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 Permitted to distribute a business card without triggering restrictions.

 The following general marketing activities may be permitted:

- brand awareness;
- distribution of business cards;
- socialising with prospective investors;
- providing general information about the firm;
- product/service line awareness;
- attending or speaking at a finance-related event;
- publishing articles / giving interviews e.g. thought leadership pieces or macroeconomic analysis; and
- activities referring to an investment strategy/particular characteristics .

Care is required not to trigger the Presence in India Rule (or, where triggered, to comply with the associated requirements i.e. registration with the Registrar of Companies). See below for description.

Local counsel think that activities referring to investment strategy or characteristics of particular securities (but without naming them) would fall within the remit of the General Advice Exemption and therefore not trigger the SEBI Registration Requirement.

Local counsel suggest that a firm include a disclaimer in general marketing materials, including stating that the communication is not meant for Indian investors and that the firm is not conducting business operations in India. See Appendix 1.A and Appendix 4 of the Memorandum for suggested wording.

Presence in India Rule: Where a firm limits its engagement with Indian clients (e.g. only undertakes infrequent meetings/emails and potentially infrequent telephone contact), and the Exchange Control Restrictions are complied with, the Indian regulators are unlikely to consider that the Presence in India Rule has been triggered. Where materials are delivered via post or at a fly-out meeting (i.e. outside India) then this will fall outside the scope of the rule.

The rule is triggered where a firm has a place of business in India, whether by itself or through an agent, physically or through “electronic mode”, and conducts any “business activity” in India in any other manner. The significance of this rule to a non-Indian firm is that even though it may not have a physical place of business in India, it could still be caught by acting through an intermediary (when such intermediary is acting as an agent of the firm) or by acting cross-border through “electronic-mode”.

Where the rule is triggered the firm must register with the Registrar of Companies (**RoC**) and may need to obtain approval from the Reserve Bank of India (**RBI**) under the RBI Place of Business Rules. Initial registration with the RoC must be done within 30 days of the rule having been triggered and involves the filing of a form (Form FC-1) and various other documents. The firm is then subject to certain ongoing compliance requirements such as filing of annual accounts and returns. Filing fees vary but local counsel state that they are nominal. If required to obtain approval from the RBI, the firm is required to establish either a locally incorporated entity or a branch office authorised by the RBI in India. Separate licensing requirements apply to firms that are banks. Ongoing compliance requirements apply such as filing of annual activity certificates and financial statements.

General Advice Exemption: general comments in good faith on trends in the financial/securities market will not trigger the SEBI Registration Requirement where such comments do not specify any particular securities or investment product.

Passive Marketing/Selling (Reverse Enquiry)



 **Funds:** Permitted on a limited basis provided a firm responds to reverse enquiries from only certain types or groups of investors and associated conditions are met. Care is required as to how activity is structured.

There are four restrictions to consider when responding to a reverse enquiry and care is required to consider each in turn. In summary, it is possible to respond to reverse enquiries from Permitted Investors provided the Conditions for Permitted Private Placement of CIS are complied with (which specify further requirements e.g. as to the minimum number of investors and size of the fund). The Public Offer Rule, Presence in India Rule and Exchange Control Restrictions must also be considered.

1. Rule on Collective Investment Schemes

Local counsel consider that a firm will not be subject to the Rule on Collective Schemes where it complies with the below Conditions for Permitted Private Placement of CIS. Certain compliance procedures should be implemented, which include requiring investors to provide evidence that they fall within one of the categories of Permitted Investors.

Conditions for Permitted Private Placement of CIS:

The firm limits marketing/selling of a fund by a non-Indian firm to responding to reverse enquiries from Permitted Investors. Any documents distributed should also be limited to private offer documents.

In addition, considering SEBI's wide powers to regulate the securities market in India and drawing from the regulations applicable to Indian funds, it is also recommended that the firm complies with the following criteria:

- (i) require a minimum investment by each investor of INR 10,000,000, other than potentially when marketing/selling to an Accredited Investor (as to which see below);
- (ii) require a minimum subscription amount (i.e. the total amount of pooled investments at the point of fund closure) of INR 200,000,000;
- (iii) require a minimum of 20 investors;
- (iv) require that any single investor holds no more than 25 percent of the assets under management; and
- (v) based on a conservative interpretation, limit the total corpus (size) of the fund to less than INR 1,000,000,000.

When marketing/selling to an Accredited Investor, a firm could potentially disregard (i), above, and sell/market units in a fund for an amount of than INR 10,000,000. Such an approach is not a black-letter rule, but a read across of the rules applicable to domestic entities. However, caution is advised as such approach has not been confirmed by SEBI. Indian regulators are generally considered to have a conservative outlook in terms of administering and enforcing laws.

Having said the above, while on a conservative view the rules underpinning criteria (i)-(v) above may be wide enough to cover offshore securities, in practice, the risk emanating from not adhering to such criteria in relation to offshore securities is low.

2. Public Offer Rule

A Private Placement of offshore funds is permitted without triggering the prospectus and other requirements that apply to a public offer where:

- the investment complies with Exchange Control Restrictions;
- the OFI's activities are structured to avoid triggering the Presence in India Rule; and
- a prospectus is not issued to the larger public in India.

Certain compliance procedures should be implemented, which include ensuring that marketing/offering documents do not result in securities becoming available for subscription/purchase by persons other than the recipient.

3. Presence in India Rule

See discussion of this rule under *General Marketing* above.

4. Exchange Control Restrictions

Indian investors are subject to certain foreign investment and exchange control restrictions. There are rules governing the types of persons who can invest in offshore Funds and the conditions for such investments. Restrictions may apply when opening offshore accounts and paying for offshore funds and IMAS. Please refer to section 6.2(b) of the Memorandum for more details.

 **IMAS:** Workable depending on how activity structured

There are no specific exemptions or exclusions based on activity being in response to a reverse enquiry. The analysis set out under *Active Marketing/Provision of IMAS* below therefore also applies.

Pre-Marketing of Funds



 There is no route available enabling a firm to avoid the restrictions applicable to active marketing/selling of funds purely because activities amount to introductory pre-marketing. See *Active Marketing/Selling of Funds* below for description of the regime that applies equally to pre-marketing activities.

Active Marketing/Selling of Funds



 Active marketing/selling of fund interests is effectively prohibited since the Rule on Collective Investment Schemes effectively limits a firm to responding to reverse enquiries relating to interests in funds only. See *Passive Marketing/Selling (Reverse Enquiry)* for more information.

Active Marketing/Provision of IMAS



 Workable depending on how activity structured

1. Presence in India Rule and Exchange Control Restrictions

It is technically possible to structure activities so as not to trigger the Presence in India Rule, but care is required. A firm must also consider the Exchange Control Restrictions.

It should be noted, however, that where the Presence in India Rule is triggered in relation to Regulated Services, Regulated Investment Advice, or acting as a Research Analyst/Entity, then registration with the Registrar of Companies will not suffice and full compliance with the SEBI Registration Requirement will apply.

2. SEBI Registration Requirement

Where triggered, the firm must establish a locally incorporated entity or branch office in India which is then registered with the SEBI. However, note that this restriction does not apply uniformly to all IMAS services and therefore care is required to identify:

- the precise IMAS service to be offered (i.e. whether Regulated Investment Advice, acting as a Research Analyst/Entity or Regulated Services);
- whether the firm will be both marketing **and/or** providing the relevant service; and
- whether the service will relate to *domestic* or to *offshore* securities.

Regulated Investment Advice: Marketing (whether active or passive) and provision of investment advice in relation to *domestic* securities (and on a conservative view, in relation to *offshore* securities) in India or to Indian residents would amount to acting as or holding oneself out as an investment adviser and is caught by the SEBI Registration Requirement. However, in practice, counsel consider that marketing and provision of Regulated Investment Advice in relation to *offshore* securities is unlikely to be viewed as triggering the SEBI Registration Requirement. Also, the restriction will not apply where investment advice falls within the General Advice Exemption (see under *General Marketing*, above) or the Widely Available Medium Exception (see below).

Note that an entity offering Regulated Investment Advice is required to have client level segregation at group level for advisory and distribution/execution services. The same client cannot be offered advisory and distribution/execution services by entities within the same group.

Widely Available Medium Exception: advice / research given through newspaper, magazines, any electronic or broadcasting or telecommunications medium which is widely available to the public.

Research Analyst/Entity: acting (or holding oneself out) as a Research Analyst/Entity (which includes the marketing/provision of regulated research services) is caught by the SEBI Registration Requirement. Regulated research services refer to services such as providing research reports/analysis with respect to securities (or underlying securities) listed or to be listed in an Indian stock exchange. The restriction will not apply where research falls outside the scope of regulated research services, is provided without consideration (note that consideration is defined broadly and includes non-cash/indirect economic benefits) or falls within the General Advice Exemption.

Regulated Services: covers portfolio management, arranging and execution of orders on behalf of clients. *Provision of Regulated Services in relation to domestic (and on a conservative view also offshore) securities in India* is caught by the SEBI Registration Requirement. However, as with Regulated Investment Advice, counsel consider that in practice provision of Regulated Services in relation to *offshore* securities is unlikely to be viewed as triggering the SEBI Registration Requirement.

Marketing (whether active or passive) of Regulated Services is permitted without compliance with the SEBI Registration Requirement, but the firm must be careful not to be seen as providing a Regulated Service as part of the marketing activity and disclaimers are recommended. See suggested wording at Appendix 3.A.

In terms of the position that applies to segregated managed accounts, single investor vehicles and family office structures, the Indian legal regime does not specifically deal with such investment structures/investment vehicles. However, generally speaking, the provisions related to funds discussed above will also apply to marketing/selling any securities/units of such investment structures/investment vehicles. In addition, the provisions related to IMAS discussed above would apply when such services are marketed/provided in respect of one of these vehicles.

Where it is proposed to market/provide IMAS to retail investors, the firm should note that while the regime is substantially the same as for non-retail clients, marketing aimed at retail investors is subject to increased

regulatory scrutiny. Local counsel recommend establishing a place of business in India or using a licensed intermediary to market/sell to retail investors. See section 6.3(b) of the Memorandum.

Additional Considerations



Intermediaries

Funds: In practice it is not possible to actively market a foreign fund in India, even by appointing a locally licensed intermediary to conduct the distribution.

IMAS: It is not a requirement to use an intermediary. However, in certain circumstances it may be possible to use a licensed local intermediary (appointed on a principal-to-principal basis) which would avoid the firm having to comply with the Presence in India Rule. In relation to Regulated Investment Advice and the risk of acting (or holding out as) a Research Analyst/Entity, the firm should be careful that the independent contractor markets the advice and research as its own products. Please refer to Memorandum section 7.3(a) and 7.3(c) for more details. Use of an intermediary may also be advisable where the firm is seeking to target retail investors. See section 6.3(b) of the Memorandum.

Fly-in meetings

The analysis that applies to marketing, selling and provision discussed elsewhere in this Summary will apply equally where the activity takes place at a fly-in meeting. However, we note in addition that:

- Frequent fly-in meetings may be considered as establishing a place of business in India and trigger the Presence in India Rule. What constitutes “frequent” would depend on the facts and circumstances of each case and it is difficult to make a quantitative assessment. Both the number and duration of fly-in meetings will be relevant.
- Immigration rules should also be considered (these are outside the scope of the Memorandum).

TRAI Regulations

Unsolicited telephone marketing could trigger requirements under the TRAI Regulations. Please see section 8 of the Memorandum for more details.

International Financial Services Centre (IFSC)

This Summary relates to the regime in India not including the IFSC. Please see the Memorandum for more details on the IFSC. In particular, there is a helpful exemption from the Presence in India Rule where a foreign company is offering its securities in the IFSC.

Definitions



Accredited Investor: Must have been granted a certificate of accreditation in accordance with SEBI’s AIF Regulations. Eligibility criteria includes:

- individuals, family trusts, sole proprietors which meet certain criteria in terms of income and/or net worth;
- partnership firms that meet certain criteria;
- trusts (other than family trusts) with net worth over a prescribed threshold; and
- body corporates with net worth over a prescribed threshold.

Permitted Investors: High-net-worth individuals, institutional investors and corporations.

"High net worth individuals" are not defined, however the term generally refers to an individual with substantial investible assets (worth over INR 5 Crore).

"Institutional investors" refers to Qualified Institutional Buyers as well as family trust or intermediaries registered with SEBI with net worth of more than five hundred crore rupees, as per the last audited financial statements.

Qualified Institutional Buyer: includes:

- mutual funds, venture capital funds, alternate investment fund and foreign venture capital investors registered with SEBI;
- foreign portfolio investors other than individuals, corporate bodies and family offices;
- public financial institutions;
- scheduled commercial banks;
- multilateral and bilateral development financial institutions;
- state industrial development corporations;
- insurance companies registered with the Insurance Regulatory and Development Authority of India;
- certain provident funds and pension funds having a minimum corpus of INR 250 million;
- the National Investment Fund;
- certain government owned insurance funds; and
- systemically important non-banking financial companies.